

Put her in charge of counting the money to make sure it's all there. Then explain to her, in as much detail as possible, how hard you had to work for that money—in other words, the intangible costs you accrued to earn it. “Remember when I went on a business trip last weekend and didn’t see you for three days? On that trip I earned X amount.” Or, “I worked 10 hours straight at the shop last week and was so tired I could hardly see straight. That day I made X much.” The goal is to draw a direct line between the money she’s holding in her hand and what you sacrificed to earn it. These are invaluable discussions, and you’ll never get a chance to have them again. Even at six, kids are old enough to understand the concepts of work and sacrifice.

Enjoy dinner with your family. When it’s time to pay the bill, make sure your daughter sees you pay with the crisp new bills. If you’ve done your job, your child no longer sees money as UFOs—Undefined Frivolous Objects. Those twenties you just gave up were a direct result of your hard work ... and they ain’t comin’ back.

Age 7

The Grocery Store

This year, instead of going out to a restaurant, you’re going to make birthday dinner at home. Engage your seven-year-old in planning the meal. Maybe she wants to have “breakfast for dinner,” with blueberry muffins and bacon, or she wants to help Dad with a new recipe. Whatever it is, sit down with her to make a grocery list of the ingredients you’ll need. Set a specified budget for the meal (and define “budget” when she gives you a blank look). Whether it’s \$25, \$50 or \$100, put the money on the table and have her count it out so she knows exactly what she’s working with. Make it clear she’s the one in charge. “You can spend \$60 at the store. You can buy whatever you need, just as long as you don’t go over budget.”

Then, take the whole family to the grocery store. Put your daughter in charge of the shopping. By age seven, most kids can do simple addition and subtraction, though you may need to help a little. If you like, give her a calculator. The other family members—